

**THE CREDIT RISK GOVERNANCE FRAMEWORK IN EMERGING ECONOMIES:
EMPIRICAL EVIDENCE FROM INDIAN COMMERCIAL BANKS**

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THE CREDIT RISK GOVERNANCE FRAMEWORK IN EMERGING ECONOMIES: EMPIRICAL EVIDENCE FROM INDIAN COMMERCIAL BANKS

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Since the financial crisis in late 2000s, many committee reports have focused on risk governance in financial institutions, including major reports by the Basel Committee on Banking Supervision, the Group of Thirty, the Institute of International Finance, and others. Governance is generally understood to aim at the maximization of long-term shareholders value within the regulations and pertinent laws and social ethics to ensure about the transparency and fairness of its functioning in business. In commercial banks, good risk governance is a prerequisite for justifying their role as financial intermediaries. In banking parlance, the Credit Risk (CR) Governance refers to conducting the affairs of a commercial bank in such a manner that gives a fair deal to all the stake holders i.e. shareholders, depositors, clients/counterparties, regulatory authority, employees etc. OECD's Principles of Corporate Governance observed, "Risk Governance is not a question of ticking the boxes of relevant codes, but rather it is as much about the board's role in providing risk oversight as it is about supporting management in implementing its strategy". From the perspective of commercial banks, the CR governance also includes the manner in which their Board of Directors governs the business and affairs of credit/loan and advances department and their functional relationship with senior CR officials. This is determined by how banks organise their credit department and committees with the expectation that banks will operate in a safe and sound manner for each credit transaction and managing credit portfolio risk, and of course in compliance with applicable laws and regulations. In a study conducted for the World Bank, Kirkpatrick (2009) concluded that the recent global financial crises can, to an important extent, be attributed to the weaknesses and failures in the corporate governance structures. So CR governance framework/structure occupies an important role in overall risk governance at banks.

NEED FOR STUDY: The CR governance in banking sector is an interesting area of study in emerging economies due to very nature of banking transactions. In developing economies, financial markets are yet to mature. Commercial banks are commonly accepted as major

financial intermediaries as they serve as an easy source of credit for business and offer a universally accepted mode of payment. Also due to liberalization of the economic regulations and new regulatory guidelines on risk governance in emerging economies, bank management is in search of proper CR governance mechanism. Good CR governance helps to prevent imprudent and high risk behavior by bank managers and the abuse of power and self-serving conduct by Board of directors. RBI has taken several measures to improve regulatory and supervisory oversight of risk governance, such as, Guidelines on developing or strengthening existing risk management framework, raising supervisory expectations for the risk management function, etc. Nonetheless, more work is necessary. In particular, policy makers need to better assess the effectiveness of a bank's CR governance framework, and more specifically its structure, to help ensure the sound management of credit risk. This study makes a modest attempt in this direction. In Indian banking sector, various recommendations by international bodies on various attributes of governance mechanism may not be easily implemented due to many issues/concerns involved in it. As in their study, Arun and Turner, (2002a) observed "In a developing economy such as India, the growth of efficient corporate governance principles in banks has been partly held back due to weak legal protection, poor disclosure prerequisites and overriding owners." Moreover, "the private banking sector is purposely opting to ignore certain corporate governance ethics as it has vested interest of some parties (Banaji and Mody, 2001)".

RBI reports (2011-13) had observed that though the Indian commercial banks remained well capitalized, concerns about the growing non-performing assets loomed large, particularly on the public sector banks. RBI report, (2013), "an immediate and manageable challenge before Indian public sector banks is to improve their internal CR Management systems and procedures in credit risk assessment, mitigation and control, to track and reduce credit delinquencies, and build quality asset portfolio". Thus, to the extent that the banking sector is very central to the proper functioning of financial sector in an emerging economy and also that the most important risk in banks is the improper management of CR, it becomes imperative to investigate the CR management activities of banks and the role played by the governance systems and processes put in place in an emerging economy like India.

LITERATURE REVIEW: Corporate governance models have widely been studied from time to time by various researchers. The recent studies relating to corporate governance in emerging economies are reviewed. A study on corporate governance practices in Indian banks and

financial institutions by Gowd. N. et al.(2013) concluded that, “ Indian Banks and Financial Institutions have been using corporate governance as a tool to gain competitive advantage and achieving the corporate excellence and further Private sector banks have been adopting better governance practices than the public sector banks and financial institutions except Punjab National Bank.” Wei'an Li, et. al (2012) reviewed corporate governance practices in China and found that corporate governance in china was in the “transition process from administrative governance to economic governance”. Themistokles Lazarides & Evaggelos Drimpetas (2011) made an evaluation of the quality of corporate governance in Greece by using data from annual reports and observed that firm size, leadership or power concentration and board characteristics were main determinants of governance. The study concluded that “Greek firms' corporate governance quality depends mainly on the balance of power within the firm, rather than performance or market for corporate control”. Nathan, Vincent Ribi re (2007) study explored how the core concepts of Islamic banking governance could be adapted to conventional Islamic banking. It stressed on the need for organizations to continue their knowledge management journey by integrating organizational wisdom with their decisions and actions. By analysing eight abridged cases of banks currently in financial distress, Zororo Muranda (2006) investigated the relationship between corporate governance failures and financial distress in Zimbabwe's banking sector. The author found “that in all cases of pronounced financial distress, either the chairman of the board or the chief executive wields disproportionate power in the board”. Chaudhury. et al (2011) observed that both HDFC and PNB are in race towards maintaining best corporate governance practices. The study listed positive aspects of good and effective corporate governance in PNB, such as, ethical and value based corporate philosophy, large number of Board of Directors, large number of committee for effective functioning, etc. Tsorhe , et al (2010) study examined the relationship between the corporate governance and financial risk management of 23 banks in Ghana from 2005 to 2008. In particular, it assessed the impact of the strength of the board (how resolute) of directors on risk management and concluded, “Board strength does not have significant impact on capital risk, credit risk nor liquidity risk. Though, the tendency is for stronger boards to impact these risks positively”. A study by Pattanayak and Pant (2010) examined the interaction effect of product market competition and corporate governance variables on firm performance in India. Their study observed, “While the linkage between internal governance mechanism and firm performance is well established in several

studies, the interaction between internal and external governance mechanism has received scanty attention in emerging market economies”. Thus, credit risk governance issues in banks, more particularly in emerging economies have assumed immense significance, but unfortunately they have not been adequately addressed so far. Research that links risk governance directly to the management of CR by banks in India is almost non-existent. This paper therefore seeks to contribute to fill this gap.

OBJECTIVE OF STUDY AND RESEARCH DESIGN: This study aims to examine CR governance mechanism installed in Indian banking sector in terms of formation of committees, groups and specialised cells. It aims to draw conclusions about the sufficiency of CR governance mechanism and identify weaknesses, if any. The study findings are primarily based on the primary data collected from 35 Indian commercial banks during year 2007-08, with the help of a structured questionnaire. The responses were sought from Head office or zonal office wherein senior level CR officials were in charge of framing CR governance mechanism in their respective banks.

MAIN FINDINGS

The findings of study are listed further.

- The board of directors is the supreme governing body of bank. The board has ultimate responsibility for setting the strategic direction of the bank and overseeing the credit risk management policies of the bank. As per OECD guidelines on governance “There should be a risk management group or function, headed by a senior individual with direct access to the board.” Credit Risk Management Committee (CRMC) is a top level functional Committee headed by CMD and comprises of ED, GMs of Credit, Treasury, Risk Management, etc. as per the directives from RBI. It was observed in survey that CRMC was formed in all the sample banks by year 2001, when RBI issued detailed guidelines on CRM wherein constituting such committees was recommended.
- A Credit Policy & Process Management Committee (CPPC) a top level functional Committee headed by CMD may be formed. As per RBI guidance note on CRM, specific responsibilities of CPMC are : i) implementation of credit risk policy/ strategy approved by the board; ii) Monitor credit risk on a bank wide basis and ensure compliance of limits approved by the board; iii) Recommend to the Board for its approval, policies on

standards for presentation of credit proposal, financial covenants, rating standards and other benchmarks.

Table 1 Formation of Credit Policy& Process Management Committee (CPPC)

Response	Formation of CPPC	Formation of CARD	Segregation of CRM and credit administration processes
No	6 (17.1)	6 (17.1)	3 (8.6)
Yes	29 (82.9)	29 (82.9)	32 (91.4)
Total	35	35	35

(Figures in parentheses represent percentages of total)

As may be observed from the Table 1, 83% sample banks had constituted CPPC indicating that this practice was fairly common. This finding suggests that CR governance mechanism in vast majority of sample banks had ensured that adequate structures are in place to identify and rectify problems/errors before they become major concerns.

- Credit administration is a critical element in maintaining the safety and soundness of a bank. The credit administration processes encompass the back office processes and procedures relating to documentation and obtaining current financial information from the clients. RBI has advised that the responsibilities of Credit Risk Management Department (CRMD) should be defined to be distinct from and independent of Credit Administration Department (CAD). Basel guidelines also suggest that the banks should have in place a system for the on-going administration of their various credit risk bearing portfolios. The Table 1 shows the extent to which these guidelines were followed by the sample banks. It is observed from Table 1 that 91.4% of the sample banks were following RBI guideline in this regard and only three sample banks were yet to follow this

guideline. Such practices also suggest that most of the sample banks had enabled CRMC to focus on requisite credit risk assessment before the approval of credit proposal.

- Another important element of CRM governance in a bank is the loan review mechanism or the credit audit. CRM practices relating to loan review include procedures for independent verification of sanction process, modalities of disbursement, adherence to existing policies and finally compliance with regulatory prescriptions. A bank may form a cell within CRMD to handle loan review system or may form a separate Department, independent of the CRMD. RBI Guidance note suggests that department, called as Credit Audit & Review Department (CARD) may be formed in large banks for loan review purposes. BCBS also strongly recommended that CARD should be distinct from other committees. As may be observed from the Table 1, 83% sample banks had constituted CARD, indicating that CR governance mechanism ensured that the policies, operations and systems laid with respect to CRM are duly complied with.
- Arora. A. (2010) in a study on CRM practices observed that, “ A bank in view of complexity of its operations may also form expert groups/cells to assist these committees by providing vital input data. Constitution of the expert groups for data management and credit risk inspection helps the bank to derive the further benefits of super-specialisation in their organization practices.” The Credit Data Management Cell (CDMC) may be formed to perform functions such as, compiling, analysing credit data, as collected from financial statements, financial analysis, internal rating documentation, reference letters, etc. The bank’s CR governance framework may also include a specialized group Credit Risk Inspection Group (CRIG) designed to ensure that the bank’s risk identification, aggregation, mitigation and monitoring capabilities are commensurate with the bank’s size, complexity and risk profile. The findings with regard to setting up of cell/group to assist the above committees are studied further in Table 2.

Table 2 Formation of super-specialised groups

Response	Formation of CDMC	Formation of CRIG	Formation of CDMC and CRIG Both
No	18 (51.4)	19 (54.3)	18 (51.4)
Yes	17 (48.6)	16 (45.7)	17 (48.6)
Total	35	35	Total

(Figures in parentheses represent percentages of total)

Setting up of CDMC and CRIG both by less than half of the sample banks reflects that the banks' CR governance mechanism were lagging behind in deriving the benefits of specialized skills of an independent expert group and reflects their laxity in credit risk monitoring and control.

- The practice of formation of various committees may be associated with the constitution of super-specialised groups /cell. Credit Risk Management Committee has been formed by all the sample banks. However, there may be some association between the practice of formation of Credit Policy and Process Management Committee (CPPC) in a bank and the practice of setting up expert groups, namely, Credit Risk Inspection Group (CRIG) and Credit Data Management (CDMC) cell. Such association is depicted in the Table 3. It is observed from the table that 94% of the banks which had set up CDMC also followed the practice of constituting Credit Policy & Process Management Committee. There were only five banks which had not constituted both the CPPC and Credit Data Management Cell. It is further observed that the 87.5% of the banks which had formed Credit Risk Inspection Group (CRIG) had also formed Credit Policy & Process Management Committee (CPPC). However, 78.9% of the banks which had not set up CRIG formed Credit Policy & Process Management Committee. There were only four banks which had not constituted both the CPPC and CRIG.

Table 3 Association between Credit Policy& Process Management Committee (CPPC), Credit Data Management Cell (CDMC) and Credit Risk Inspection Group (CRIG)

CPPC		CDMC		CRIG		Overall
		No	Yes	No	Yes	
	No	5 (27.8)	1 (5.9)	4 (21.1)	2 (12.5)	6 (17.1)
	Yes	13 (72.2)	16 (94.1)	15 (78.9)	14 (87.5)	29 (82.9)
Total		18	17	19	16	35

(Figures in parentheses represent percentages of column total)

- Also it may be of interest to analyse whether the CRM practice regarding formations of CRIG and Credit data management cell in a bank are associated. It is observed from the table 4, that there is a positive correlation between the formation of CRIG and CPPC in a bank, though it is not statistically significant. Also the formation of CRIG and CDMC are significantly positively correlated. The correlation coefficient is significant at 1% significance level. One may infer that if a bank is following the practice of forming CRIG, it is most likely to form CDMC also and if a bank is not following the practice of forming CRIG, it is most likely to also not form credit data management committee.

Table 4 Correlations between Credit Risk Inspection Group (CRIG) & Credit Data Management Cell (CDMC) and between Credit Risk Inspection Group (CRIG) & Credit Policy & Process Management cell (CPPC)

		CRIG	CDMC	CRIG	CPPC
CRIG	Pearson Correlation	1	.485(**)	1	.113
	Sig. (2-tailed)	.	.003	.	.518
	N	35	35	35	35
CDMC	Pearson Correlation	.485(**)	1	.113	1
	Sig. (2-tailed)	.003	.	.518	.

	N	35	35	35	35
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** Correlation is significant at the 0.01 level (2-tailed).

- It is further observed from the Table 4, that there is a positive correlation between the formation of CRIG and CPPC in a bank, though it is not statistically significant. Also the formation of CRIG and Credit Data Management Cell are significantly positively correlated. The correlation coefficient 0.485 is significant at 1% and 5 % significance level. It may be inferred that if a sample bank was following the practice of forming CRIG, it was most likely to also follow the practice of forming Credit Data Management Cell and if a bank was not following the practice of forming CRIG, it was also most likely to not form such cell. One may perhaps infer that the banks' board which followed the practice of forming super-specialised groups preferred to form all such necessary groups to reap the advantages associated with them to the maximum possible extent.
- Next the correlations between the practice of segregating CRM and credit administration processes and Credit Data Management Cell (CDMC) is analysed and depicted in Table 5. It is observed from the table that there was a negative correlation between the practice of forming CDMC and the practice of segregating the CRM and credit administration processes. Also the correlation coefficient was statistically significant at 5% significance level, so it may be inferred that if a sample bank segregated CRM and credit administration processes, most likely it did not form CDMC.

Table 5 Correlation between Segregation of credit risk management and credit administration processes and setting up Credit Data Management Cell (CDMC)

		Segregating	CDMC
Segregating CRM & credit administration processes	Pearson Correlation	1	-.347(*)
	Sig. (2-tailed)	.	.041
	N	35	35
Credit Data Management Cell (CDMC)	Pearson Correlation	-.347(*)	1
	Sig. (2-tailed)	.041	.

	N	35	35
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* Correlation is significant at the 0.05 level (2-tailed).

This finding indicates that CR governance framework did not feel the need for CDMC if CRM and credit administration functions were segregated.

- The above findings about CR governance framework may be examined by making a cross section comparisons and grouping these committees and groups together. The Table 6 shows the CR governance framework laid down by the sample banks. From type I to type IV, the number of cells increases in the CR governance framework. The type IV CR governance framework is marked with relatively higher specialization and utilization of super-specialised skills. However, it is observed that nearly one third of the sample banks had formed all the three committees, namely, CRMC, CPPC & CARD and the two expert groups, namely, Credit Risk Inspection Group and Credit Data Management cell.

Table 6 Type of CR governance framework

Type	CR governance framework	Overall
I	CRMC, CPCC, CARD (all 3 committees) only	14 (40.00)
II	All 3 committees and one group, namely, Credit data management cell only	7 (20.00)
III	All 3 committees and one group, namely, Credit risk inspection group only	2 (5.71)
IV	All 3 committees and above both groups	12 (34.28)
Total		35

Figure in parentheses represents percentages of column totals

Thus, it may be concluded that CR governance framework laid down by the sample banks was simple and did not include too many groups/cell. This perhaps indicates inclination towards centralization of authority and control in CR governance.

- The Table 7 examines whether the practice of segregation of CRM and administration has led to formation of lesser number of committees and specialized groups. As may be observed from table, even if banks had not segregated CRM and credit administration processes, they did not always formed CPPC, CDMC and CRIG.

Table 7 Key practices relating to CR Governance

Segregation of CRM & credit administration processes	Overall	All committees and groups		CRMD formed	CARD formed		CPPC formed		CRIG formed		Credit data Management cell formed	
		Yes	No	Yes	Yes	No	Yes	No	Yes	No	Yes	No
Yes	32	12	20	32	27	5	27	5	14	18	15	17
No	3	2	1	3	2	1	2	1	2	1	2	1
Total	35	14	21	35	29	6	29	6	16	19	17	18

CONCLUSION: The findings establish that various positive measures have been taken in Indian commercial banks, such as, developing or strengthening existing committees/groups for the credit risk governance, engaging more expertise for data management, and assessing the credit portfolio risk to enable top level management to effectively discharge their responsibilities. Nonetheless, more work is necessary. Commercial Banks in India need to update their data management and IT capabilities by forming specialized groups.

MANAGERIAL IMPLICATIONS: Due to rapidly changing banking environment, banks in emerging economies must continue to implement strong corporate governance practices. It is important that super-specialised groups be constituted so that the board can devote more time towards its responsibility for defining risk appetite and overseeing bank-wide risk governance systems. The CR governance framework must be compatible with a bank's strategy, risk appetite, size and complexity of its operations. Restructuring of various risk estimation and

loan review committees and improved systems will surely increase efficiency of CR operations and systems and improve upon prediction of both counterparty and portfolio credit risk

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